

Sun's AS/400 Market Opportunity



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Agenda

- AS/400 Demographics
- Competitive Assessment
- IBM's 2002 Game Plan for iSeries
- Market Opportunity for Sun
- Recommended Market Strategy
- Discussion

AS/400 Demographics

- BIG: 450,000 machine installed base – 25,000 are current products and OS release
- \$7.7B hardware & \$2.6B software = 23% of IBM's hardware revenues
- Five-year decline in revenue from \$13.5B Y2K
- IBM says addressable market is \$56B
- Europe is as important as North America
- Typical customer skewed low: 1-2-way @ \$50-150K

iSeries Competitive Assessment

- Sun overlaps the iSeries product line
 - iSeries: 1-32 way servers @ 400-375,000 TPM-C
- Exceptional partner program: 85% of revenues go through partners; solutions focus
- Good commercial OS and middleware
- Poor price-performance, pricey upgrades
- Positioning & messages well tuned to SMB
- Europe is the key SMB battleground

IBM's 2002 Game Plan for iSeries

- Server consolidation (recentralization)
- Upgrade e-infrastructure (Notes & WebSphere)
- Competitive Target: HP3000 migration
- SMB new-market growth
- Enterprise Application Solutions
- Selectively target SMB (under 100 employees)
- Replace or refinance Y2K-era machines

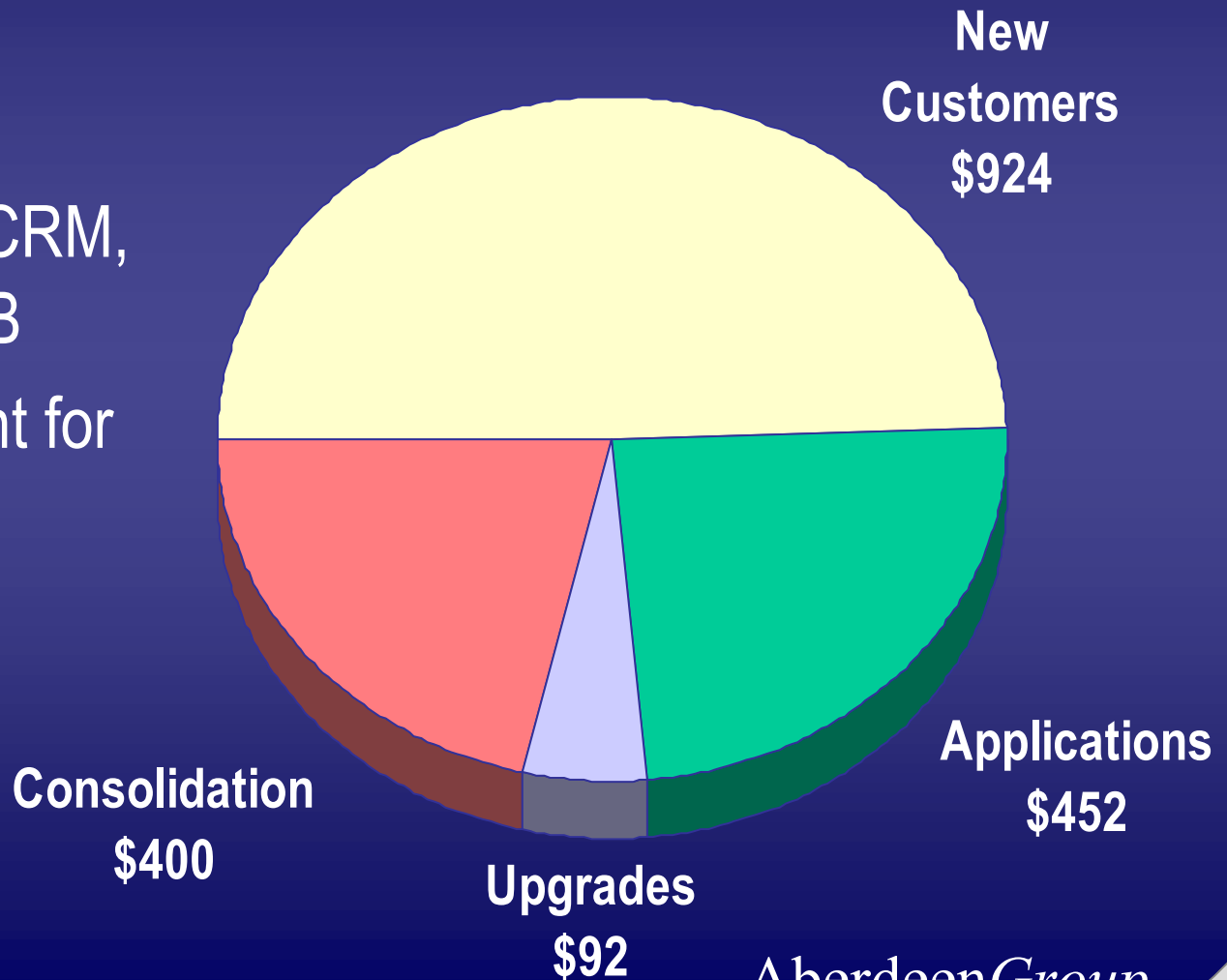
Avoid a Direct Assault on AS/400 Base

- No identifiable class of dissatisfied iSeries users
- Unix and Windows migration already exists
- Most of the installed base is low/no growth
 - “IT is an expense, not a competitive weapon”
 - “I’d rather fight than switch”
- IBM is doing enough to keep the iSeries close to the technology edge
 - Linux, NT, web, Notes, POWER4 ...

Market Opportunity for Sun

- New customers
- Applications – CRM, EAS, SCM, B2B
- Upgrades – fight for Linux
- Consolidation

Sun Addressable \$M



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Prioritized Market Strategy

- New customers
- Applications – CRM, EAS, SCM, B2B
- Upgrades – fight for Linux
- Consolidation

New Customers

- Attract IBM's partners (JDE, Siebel, SAP, Intentia, Navision...)
- Find where the new installs are going (e.g. Asia banks). Target verticals.
- Value prop:
 - Better value and more choice than pricey IBM
 - Better future-proofing than OS/400
 - iForce is solutions focused too

Applications — CRM, EAS, SCM, B2B

- “Freeze your AS/400. Go with Sun for new business apps and Edge (H1)”
- Sun is already competing in the apps market
- Value Prop:
 - Better value and more choice than pricey IBM
 - Do a TCO analysis of new Sun vs. upgrade
 - Better future-proofing than OS/400
 - Solaris business apps are Tier 1, not Tier x
 - Get latest technology faster with Sun
 - There is a better way than IGS -- iForce

iSeries Upgrades — Linux is the Lever

- Most AS/400 upgrade business is unattainable
- Opportunity is to compete for Linux-related upgrades of CPU, memory, disk with Sun Linux on SPARC or Intel
- Value Prop
 - Much better value than expensive iSeries cycles
 - Very manageable (Cobalt appliance manager)
 - Tier 1 Linux apps on Sun, not on IBM
 - Sun has Cobalt Linux appliance solutions. IBM does not.

Consolidation

- Catch large accounts who are re-centralizing geographically distributed computing on a large host server
- Carefully target consolidation characteristics
- Key Issue: ability to run existing dumb terminal/RPG apps, at least for awhile. Must create a Blue Away-like program.

Discussion